Bombay Scottish School, Mahim

PRELIMINARY ASSESSMENT

ECONOMICS

Grade	: 12	Max. Marks	: 80
Date	: 07.01.2025	No. of Questions	: 13
Duration	: Three hours	No. of Printed sides	: 11

[Answers to this paper must be written on the answer booklet provided

The first **15** minutes is allotted for reading the question paper.

Answer all questions in **Section A, Section B and Section C. Section A** consists of **objective/ very short answer** questions.

Section B consists of **short answer** questions.

Section C consists of **long answer** questions.

The intended marks for questions or parts of questions are given in brackets[ ].

SECTION A - 16 MARKS

(i) Identify the incorrect pair of statements from the set of statements given in Column I and Column II below.

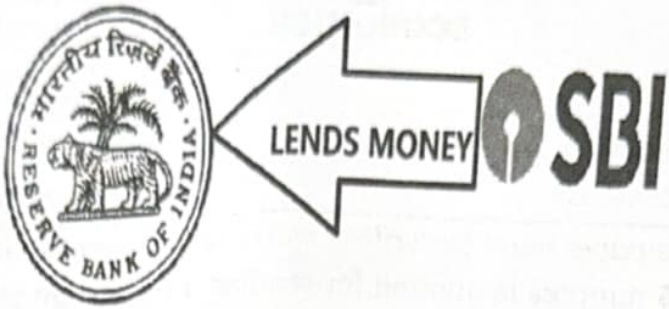
Column I	Column II
(A) AFC curve is a rectangular hyperbola curve	**i.** AFC fall as output increases
(B) AVC is a U shaped curve	**ii.** Application of law of variable proportions
(C) Marginal cost	**iii.** Sum total of Variable cost
(D) Explicit cost	**iv.** Salary paid to employees

(a) A-i
(b) B-ii
(c) C-iii
(d) D-iv

(ii) Assume that the economic cost of commodity Y is ₹ 1, 25, 000. Out of this cost, implicit cost is ₹ 35,000 and normal profit is ₹25,000. What will be the explicit cost of commodity Y?

(a) ₹45,000
(b) ₹ 65,000
(c) ₹ 55,000
(d) ₹ 95,000

(iii) What is the effect of the policy depicted below on the money supply?

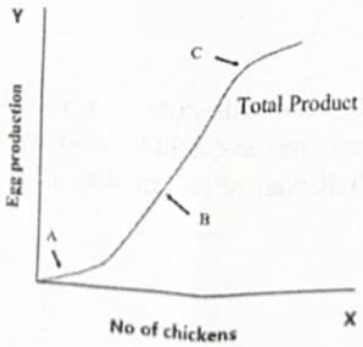


(a) Money supply will increase
(b) Money supply will remain same
(c) Money supply will decrease
(d) Money supply will initially increase and then it will decrease

(iv) If the economy were in recession, we would expect
(a) government expenditure to be high and tax revenues to be high, probably leading to a budget deficit.
(b) government expenditure to be low and tax revenues to be low, probably leading to a budget surplus.
(c) government expenditure to be high and tax revenues to be low, probably leading to a budget surplus.
(d) government expenditure to be high and tax revenues to be low, probably leading to a budget deficit.

(v) A firm's average total cost is ₹ 300 at 5 units of output and ₹ 320 at 6 units of output. The marginal cost of producing the 6th unit is:
(a) ₹ 20
(b) ₹ 120
(c) ₹ 320
(d) ₹ 420

(vi) Bunny Hill Barn produces eggs. The production function for Bunny Hill Barn is shown below. Based on the graph (not on your knowledge of chicken biology), which of the following statements is likely to be false?



(a) In region A, the barn has lots of space and the chickens are lonely. In this region, adding one additional chicken makes all the chickens happier and more likely to lay eggs.

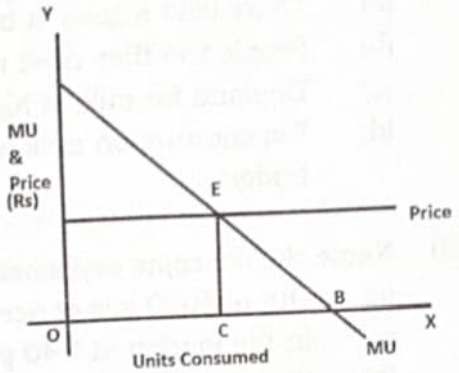
(b) In region B, the barn has reached its maximum capacity and each additional chicken increases stress, decreasing the number of eggs laid per chicken.

(c) In region C, the barn is getting overcrowded and each additional chicken increases stress, decreasing the number of eggs laid per chicken.

(d) Throughout the range of production shown here, the number of chickens has a positive relationship to egg production.

(vii) In the given diagram, the situation of Consumer's Equilibrium and point of satiety are represented by the points:

(a) Point E and Point C
(b) Point E and Point B
(c) Point B and Point E
(d) Point B and Point C



(viii) Assertion (A): Deficient Demand leads to underemployment equilibrium.

Reason (R): During deficient demand, equilibrium is determined at a level other than full-employment equilibrium.

Alternatives:

(a) Both Assertion and Reason are true and Reason (R) is the correct explanation of Assertion (A)

(b) Both Assertion and Reason are true and Reason (R) is not the correct explanation of Assertion (A)

(c) Assertion (A) is True but Reason (R) is False

(d) Assertion (A) is False but Reason (R) is True

(ix) If balance of trade is (-) ₹ 600 crore and value of exports is ₹ 500 crore then the value of imports will be :

(a) ₹ 1,300 crore
(b) ₹ 300 crore
(c) ₹ 1,100 crore
(d) ₹ 1,200 crore

(x) Ray sells hot dogs at an outdoor stand. There are a large number of other hot dog stands in the vicinity. There is a going price in the market for hot dogs. Which of the following statement is true for Ray's hot dogs?

(a) Demand for Ray's hot dogs is perfectly inelastic.
(b) Demand for Ray's hot dogs is perfectly elastic.
(c) Demand for Ray's hot dogs is relatively inelastic.
(d) Demand for Ray's hot dogs can be represented as a downward sloping line.

(xi) The price of milk doubles, but the quantity demanded changes very little. Which of the following would not be a likely explanation for this phenomenon?

(a) There isn't a good substitute for milk.
(b) People feel they need milk, rather than just wanting it.
(c) Demand for milk is highly price elastic.
(d) Expenditure on milk is an insignificant part of most people's budget.

(xii) Name the concepts explained in the following statements:

(a) Out of 4000 kgs of rice the farmer offered to sell 1000 kgs of rice in the market at ₹ 40 per kg.
(b) Shawn deposited a lump sum of ₹ 1,00,000/-in the Bank of India for one year.

(xiii) State whether the following items will be included in the National Income? Give a reason each for your answer.

(a) Payment of electricity bill by a factory.
(b) Rent earned by Reliance from its building in the USA.

(xiv) A consumer has a total money income of ₹250 to be spent on two goods X and Y with prices of ₹25 and ₹ 10 per unit respectively. Based on the information given, write the equation of the budget line for the consumer.

(xv) When total receipts of the government (except borrowings) are ₹24,000 crores and total expenditure is ₹30,000 crores. Calculate primary deficit of the economy (assume interest payment is ₹500 crores.)

(xvi) In 2003, the largest category of the Mexican Current Account was the funds wired from Mexican workers in the US to relatives in Mexico. Exactly which aspect of the Mexican Balance of Payments is affected positively or negatively by such payments?

SECTION B – 32 MARKS

Question 2

(i) William Shakespeare was a struggling playwright in sixteenth-century London. As the price he received for writing a play increased, he was willing to write more plays. To celebrate the defeat of the Spanish Armada, Queen Elizabeth declared several weeks of festivities, which involved commissioning new plays. Use a diagram to illustrate how the following event affected the equilibrium price and quantity in the market for Shakespeare's plays. [2]

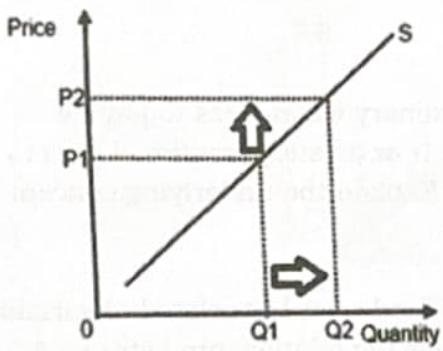
(ii) For a particular product, the price was reduced from ₹50 per unit to ₹48 per unit to attract more customers. It is observed that demand for the product subsequently increased from 100 units to 110 units. Calculate the price elasticity of demand. [2]

Question 3

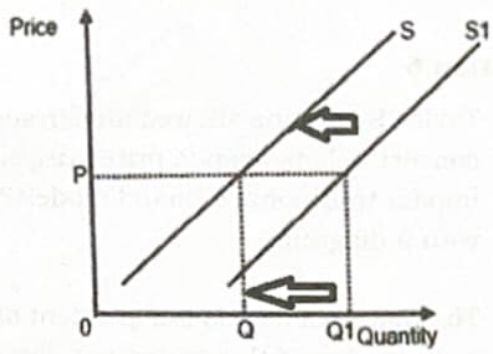
(i) The situations and the graphs given below are related. Match the graph to the situation, by stating a reason. [2]

(I)Following a technological decline there is a decrease in the speed with which robots can attach bolts to cars, making cars more expensive to build.

(II) As home prices rise, more people display the sign ' For Sale'.



(A)



(B)

(ii) Interpret the changes in the level of satisfaction of an individual in the following situations:

(a) Movement along the same indifference curve

(b) Shift from a lower to a higher indifference curve [2]

Question 4

(i) A kinked demand curve is an exclusive feature of an Oligopolistic market. Defend or refute the statement with a reason. [2]

(ii) Use the following schedule to find out the following: [2]

OUTPUT (units)	1	2	3	4	5	6	7
Price(₹)	24	24	24	24	24	24	24
Total cost(₹)	28	50	72	92	115	138	165

(a) The level of output at which the producer will be in equilibrium.

(b) The Break Even Level of output.

Question 5

(i) The government decides to give budgetary stimulus to producers to invest in the backward regions. Explain the possible incentives given by the government and the reason for the same. [2]

(ii) **"Implementation of GST has helped the poor"**: Sitharaman. "GST lowered taxes on many essential items compared to pre-GST rates," Sitharaman said, adding that GST lowered tax on common items like hair oil and soaps to 18% from 28% and electrical appliances to 12% against 31.5% before. ET, May 07, 2024.Defend or refute this statement with a relevant reason. [2]

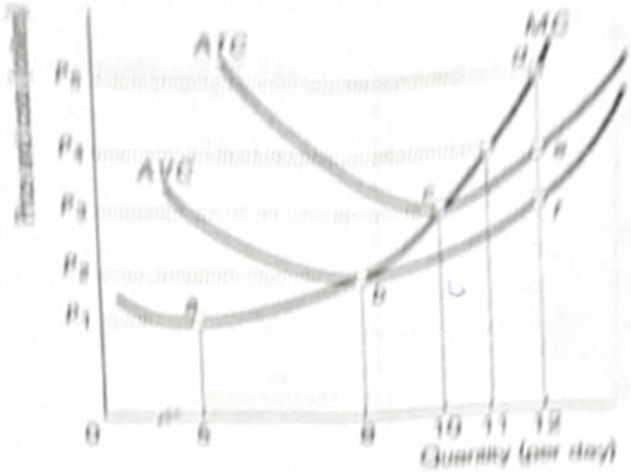
Question 6

(i) Taylor Swift fans showed an extraordinary willingness to pay for concert tickets despite price surges. How do such emotional drivers impact traditional demand models? Explain the underlying concept with a diagram. [2]

(ii) The marginal cost is independent of fixed cost, but related to variable cost. In view of this statement, discuss the relationship between AC and MC. [2]

Question 7

Answer the questions on the graph given below. [4]



(i) A perfectly competitive firm keeps on producing in the short- run even when they are incurring losses. Identify the output that justifies this statement. [1]

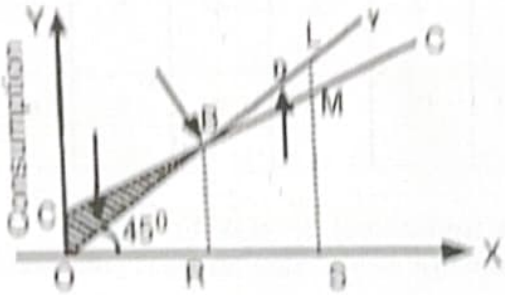
(ii) Will a firm produce at 5 units of output? Explain. [1]

(iii) What does that part of the MC curve that lies above the minimum point of the AVC curve signify? [1]

(iv) Identify the level of output at which the firm is making abnormal profit. [1]

Question 8

(i) Study the graph given below and answer the questions that follow. [4]



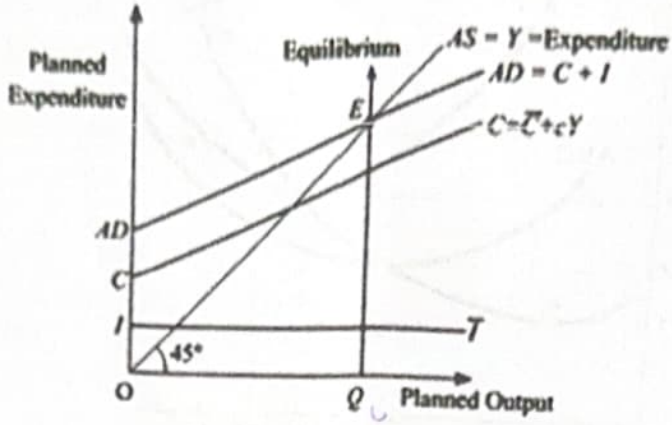
(a) APC falls with the increase in income. Explain. [2]

(b) Can APC be more than 1? Identify the point on the graph which justifies your answer. [1]

(c) State the significance of Point B. What is the value of APC at that point? [1]

OR

(ii) Study the diagram given below and answer the questions that follow. [4]



(a) Why is II parallel to the X-axis? [1]

(b) Explain the meaning of 'unintended accumulation of inventories, and state if it is an indicator of an expanding economy? [2]

(c) How would equilibrium be achieved if ex-ante demand is more than ex- ante output? [1]

Question 9

Study the schedule given below and answer the questions that follow.

Fixed Input (units)	1	1	1	1	1	1	1	1	1
Variable Input (units)	1	2	3	4	5	6	7	8	9
Marginal product	10	12	10	9	7	4	0	-2	-4

(i) Define the law underlying the schedule. [1]

(ii) What does the Point of inflexion on the Total Product curve indicate? State the unit of variable input that relates to that point. [1]

(iii) Identify the unit of variable input beyond which a producer will discontinue production. Support your answer with a reason. [2]

SECTION C – 32 MARKS

Question 10

(i) Discuss the various agency functions of a commercial bank. [6]

(ii) Repo rate and market rate of interest are interrelated. Justify. [2]

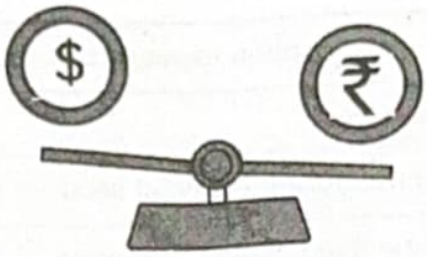
Question 11

(i) How is the exchange rate determined under the flexible exchange rate system? Explain it by using an appropriate diagram. [6]

(ii) Connect the picture to the situations given below and explain its effect on India's balance of payment. [2]

(a) Purchase of electrical machinery and equipment by India from the USA.

(b) Sale of medical appliances and accessories from India to the USA.



OR

(i) With relevant examples discuss the Invisible items of the Current account. [6]

(ii) *Demonstration effect is a cause of adverse Balance of Payment.* Explain. [2]

Question 12

(i) Define NDPfc and discuss its components . [4]

(ii) Calculate GNPmp and NNPfc by Income Method from the following information: [4]

SL. No	Items	₹ (in Crore)
1	Dividends	12
2.	Profit	70
3	Consumption of fixed capital	30
4.	Rent	40
5	Indirect tax	20
6	Interest	100
7	Royalty	10
8	Compensation of employees	600
9	Subsidy	5
10	NFIA	(-)25

OR

(i) Describe the steps involved in the estimation of National Income by Value Added method. [4]

(ii) Calculate "Gross Domestic Product at Factor Cost" from the following data by (a) Income method, and (b) Expenditure method. [4]

SL. No	Items	₹ (in Crore)
1	Private final consumption expenditure	700
2.	Wages and salaries	700
3	Employers contribution to social security schemes	100
4.	Gross domestic fixed capital formation	160
5	Profits	100
6	Government final consumption expenditure	200
7	Rent	30
8	Change in stock	20
9	Exports	40
10	Interest	40
11.	Imports	20
12.	NFIA	(-)10
13.	Mixed-Income	100
14.	Consumption of fixed capital	20
15.	Subsidies	10
16.	Indirect taxes	20

Question 13

Read the passage given below and answer the questions that follow:

Halloween could taste different this year thanks to soaring cocoa prices(edited)

By Erika Tulfo, CNN

Sun October 20, 2024

Everybody knows it's not Halloween without candy, but trick-or-treaters might find less chocolate filling their buckets this year. That's because cocoa prices have more than doubled. With Halloween as the next major candy-centric holiday, companies are getting creative with their ways of coping with the lack of cocoa. "Cocoa is not like a normal agricultural crop where you have it grown everywhere, like other commodities. El Niño raised temperatures that led to drought stress on the cocoa trees; torrential rains spread black pod, a fungal disease that affects cocoa trees and reduces yields; dry and dusty trade winds shaded the crop from sunlight and impacted development. As a result, the International Cocoa Organization projected in August that global cocoa production this season would fall by 14.2%.Chocolate giant Hershey was among the companies forced to grapple with sky-high prices. In August, it reported an operating profit of $287.8 million, a decrease of 48.7% from the previous year.

In the meantime, companies are pursuing a combination of workarounds. One of those ways is simply reducing the size of the product — a change perhaps most visible in candy variety packs, increasing non chocolate fruit mixed candies and sugar candies in their products. Still, the rising cost of chocolate did catch the attention of one Minnesota shopper, "Normally I would get M&M's for like $2.50 and now they're $4,"I would rather buy something less expensive.

(a) How would an increase in the price of chocolates affect the demand of its substitutes during a candy centric holiday? Explain with the help of a diagram. [2]

(b) State two causes for a decrease in the production of cocoa. [2]

(c) What strategies have been adopted by chocolate companies to reduce production costs without compromising on quality? [2]

(d) Comment on the profits earned by the chocolate firm named in the passage and connect it to whether it should choose to continue chocolate production or shift focus to more profitable ventures? [2]